

costs of poor and good decision-making. Naturally, many assumptions must be made regarding good financial decisions and the impact of poor financial decisions. The Morningstar research is more directly focused on how retirees can achieve higher income, which they call “gamma.” They left out issues like behavioral coaching and included other matters like dynamic retirement spending. Full details can be found in their article, “Alpha, Beta, and Now...Gamma,” published in the Fall 2013 issue of the Journal of Retirement.

The dimensions for improving financial decisions considered in their article are broken down into several issues, along with consideration of how a naïve investor might approach each issue and how an improved outcome could be achieved with improved knowledge and education or with the help of a professional.

1. Dynamic Withdrawal Strategy

The issue: Making withdrawal decisions using a variable spending strategy that updates spending to keep a similar probability of failure for the remaining time horizon in retirement.

Naïve investor: Uses the 4 percent rule: takes out 4 percent at retirement, then increases that amount by inflation in subsequent years for as long as possible until wealth is depleted.

Improved outcome: Make dynamic decisions based on a circular process. Every year, determine retirement horizon, asset allocation, and maximum withdrawal percentage for a given target probability of failure. Repeat annually to determine spending.

2. Total Wealth Asset Allocation

The issue: Making asset allocation decisions after considering total wealth including lifetime human capital (future employment earnings).

Naïve investor: Makes asset allocation decisions without considering the role of lifetime human capital.